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PPS Funding Changes

2021–2025

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1 Overview

Change in the Portland Public Schools (PPS) State School Fund grant between FY 2021-22 and FY 2025-26, split into three factors: the real (above-inflation) increase in the statewide per-ADMw rate, the increase in PPS local revenue L deducted by the formula, and the decline in PPS extended ADMw. All dollar amounts are in FY 2025-26 dollars unless stated.

2 Result

Table 2-1: Three-factor decomposition, FY 2021-22 to FY 2025-26, West Region CPI-U deflator.

Factor	Variable	Effect on PPS grant ($M)
Real per-ADMw rate increase (rate above West CPI-U)	E_{rate}	+35.21
Increase in local revenue L	E_L	−54.27
Decline in extended ADMw	E_{adm}	−39.26
Net	E_{net}	**−58.32**

The net is the gap between the actual FY 2025-26 grant and a counterfactual grant in which the per-ADMw rate grew only with inflation, extended ADMw stayed at its FY 2021-22 value and L stayed at its FY 2021-22 nominal value. Local-revenue growth is the largest single factor; the real rate gain offsets about 38% of the two drags combined.

3 Inputs

Table 3-1: Inputs. Tax year N funds FY N/N+1.

Description	Variable	Value	Status
PPS extended ADMw, FY 2021-22	A_{21}	55,688.2	ODE/LRO estimate as of Apr 2023
PPS formula revenue, FY 2021-22	F_{21}	$549M	ODE/LRO estimate as of Apr 2023
PPS extended ADMw, FY 2025-26	A_{25}	52,441	LRO projection
PPS formula revenue, FY 2025-26	F_{25}	$634M	LRO projection
PORTLAND PUBLIC SCHOOLS tax line, tax year 2021	T_{21}	$300M	actual
PORTLAND PUBLIC SCHOOLS tax line, tax year 2025	T_{25}	$360M	approved budget
PPS permanent rate ($ per $1,000 AV)	r_{perm}	4.7743	statute/certified
Full PORTLAND PUBLIC SCHOOLS line rate ($ per $1,000 AV)	r_{line}	5.2781	certified
West Region CPI-U, Dec 2021, % of 1982-84 prices	CPI_{21}	296%	BLS, via FRED
West Region CPI-U, Dec 2025, % of 1982-84 prices	CPI_{25}	344%	BLS, via FRED

A_{21} and F_{21} from LRO 2023;[1] A_{25} and F_{25} from LRO 2025;[2] T_{21} from TSCC FY 2023-24;[3] T_{25} from TSCC FY 2025-26;[4] r_{perm} and r_{line} from ORS 327 annotations;[5] CPI_{21} and CPI_{25} from FRED.[6]

Formula revenue is the general purpose grant plus the transportation grant (ORS 327.013), before the high cost disabilities grant and before subtraction of local revenue.

[1] Legislative Revenue Office, School Finance Distribution (2021-22 through 2024-25), Simulation 2023 #1, May 10, 2023, Portland SD 1J row.

[2] Legislative Revenue Office, School Finance Distribution 2023-24 through 2026-27, Simulation 2025 #1, as cited in pps_tax_and_funding_report (report.md, footnote 7).

[3] TSCC, Budget Review FY 2023-24: Portland Public Schools (tax year 2021 actual), as tabulated in pps_tax_and_funding_report, Table district_tax.

[4] TSCC, Budget Review FY 2025-26: Portland Public Schools (tax year 2025 approved budget), as tabulated in pps_tax_and_funding_report, Table district_tax.

[5] ORS 327.008, 327.011, 327.013 and the PPS rates as annotated in pps_tax_and_funding_report, section Statute Annotations. Official ORS 327 text.

[6] BLS West Region CPI-U, FRED series CUUR0400SA0, as recorded in sabin_tax_report data/inflation_indices.csv.

4 Derivation

The State School Fund grant to a district is formula revenue minus local revenue (ORS 327.008(2)). Local revenue is taken here as the permanent-rate share of the PORTLAND PUBLIC SCHOOLS line, following ORS 327.011(2)(b), which excludes the 2009 gap-rate portion; Common School Fund, county school fund and in-lieu amounts (about $7M per year) are omitted in both years and cancel in the differences.

$$
\begin{aligned}
k &= \text{permanent-rate share of the PPS line} \\
L_{21} &= \text{local revenue, FY 2021-22} \\
L_{25} &= \text{local revenue, FY 2025-26} \\
R_{21} &= \text{formula revenue per extended ADMw, FY 2021-22} \\
R_{25} &= \text{formula revenue per extended ADMw, FY 2025-26} \\
G_{21} &= \text{grant, FY 2021-22} \\
G_{25} &= \text{grant, FY 2025-26}
\end{aligned}
$$

$$
\begin{aligned}
k &= \frac{r_{\text{perm}}}{r_{\text{line}}} \\
&= \frac{4.7743}{5.2781} \\
&= 0.9045
\end{aligned}
$$

$$
\begin{aligned}
L_{21} &= k \times T_{21} \\
&= 0.9045 \times \$300.0\text{M} \\
&= \$271.35\text{M}
\end{aligned}
$$

$$
\begin{aligned}
L_{25} &= k \times T_{25} \\
&= 0.9045 \times \$360.0\text{M} \\
&= \$325.62\text{M}
\end{aligned}
$$

$$
\begin{aligned}
R_{21} &= \frac{F_{21}}{A_{21}} \\
&= \frac{\$549\text{M}}{55{,}688.2} \\
&= \$9{,}858.46
\end{aligned}
$$

$$
\begin{aligned}
R_{25} &= \frac{F_{25}}{A_{25}} \\
&= \frac{\$634\text{M}}{52{,}441} \\
&= \$12{,}089.78
\end{aligned}
$$

$$
\begin{aligned}
G_{21} &= F_{21} - L_{21} \\
&= \$549\text{M} - \$271.35\text{M} \\
&= \$277.65\text{M}
\end{aligned}
$$

$$
\begin{aligned}
G_{25} &= F_{25} - L_{25} \\
&= \$634\text{M} - \$325.62\text{M} \\
&= \$308.38\text{M}
\end{aligned}
$$

Inflation and the inflation-only rate:

$$
\begin{aligned}
i &= \text{West Region CPI-U, Dec 2021 to Dec 2025} \\
R_{\text{infl}} &= \text{FY 2021-22 rate carried forward at inflation only}
\end{aligned}
$$

$$
\begin{aligned}
i &= \frac{\text{CPI}_{25}}{\text{CPI}_{21}} - 1 \\
&= \frac{344\%}{296\%} - 1 \\
&= 16.22\%
\end{aligned}
$$

$$
\begin{aligned}
R_{\text{infl}} &= R_{21} \times (1 + i) \\
&= \$9{,}858.46 \times 1.1622 \\
&= \$11{,}457.50
\end{aligned}
$$

Counterfactual grant and the three factors:

$$
\begin{aligned}
G_{\text{cf}} &= \text{counterfactual grant: rate at inflation only, ADMw and } L \text{ unchanged} \\
E_{\text{rate}} &= \text{real rate increase, at FY 2021-22 ADMw} \\
E_{\text{adm}} &= \text{ADMw decline, at FY 2025-26 rate} \\
E_L &= \text{local revenue increase} \\
E_{\text{net}} &= \text{net of the three factors}
\end{aligned}
$$

$$
\begin{aligned}
G_{\text{cf}} &= R_{\text{infl}} \times A_{21} - L_{21} \\
&= \$11{,}457.50 \times 55{,}688.2 - \$271.35\text{M} \\
&= \$366.70\text{M}
\end{aligned}
$$

$$
\begin{aligned}
E_{\text{rate}} &= (R_{25} - R_{\text{infl}}) \times A_{21} \\
&= (\$12{,}089.78 - \$11{,}457.50) \times 55{,}688.2 \\
&= +\$35.21\text{M}
\end{aligned}
$$

$$
\begin{aligned}
E_{\text{adm}} &= R_{25} \times (A_{25} - A_{21}) \\
&= \$12{,}089.78 \times (52{,}441 - 55{,}688.2) \\
&= -\$39.26\text{M}
\end{aligned}
$$

$$
\begin{aligned}
E_L &= -(L_{25} - L_{21}) \\
&= -(\$325.62\text{M} - \$271.35\text{M}) \\
&= -\$54.27\text{M}
\end{aligned}
$$

$$
\begin{aligned}
E_{\text{net}} &= E_{\text{rate}} + E_{\text{adm}} + E_L \\
&= +\$35.21\text{M} - \$39.26\text{M} - \$54.27\text{M} \\
&= -\$58.32\text{M}
\end{aligned}
$$

$$
\begin{aligned}
G_{25} - G_{\text{cf}} &= \$308.38\text{M} - \$366.70\text{M} \qquad \text{check} \\
&= -\$58.32\text{M}
\end{aligned}
$$

The inflation-only part of the rate increase, $(R_{\text{infl}} - R_{21}) \times A_{21}$, is \$89.05M; it is absorbed by the

deflator and is not one of the three factors.

5 Caveats

- A_{25} and F_{25} are LRO projections (Simulation 2025 #1), not final ODE figures; PPS's FY 2025-26 budget book shows 52,392 extended ADMw.
- T_{25} is the approved budget, not collections.
- L omits the non-property-tax items of ORS 327.011(1), so G_{21} and G_{25} are about $7M high; the differences are unaffected.
- The split of the rate change into inflation and real parts depends on the index; US CPI-U gives E_{rate} of +$34.2M (Dec-to-Dec) or +$21.6M (annual average).
- E_{adm} is priced at R_{25} and E_{rate} at A_{21}; pricing the other way gives E_{adm} of −$37.2M and E_{rate} of +$33.2M with the same E_{net}.

Version History

Rev	Date	Author	Description
R1	2026-11-07	Alex Stange	Initial draft